

REFINERY

When completed, it will be the sixth largest refinery in the world. Situated in the SEZ at Jamnagar, the refinery will process 5,80,000 barrels of crude per day. The second refinery in the group will be ready by the end of 2008.



LOCATION: Jamnagar
SIZE: 27 million tonne per annum
SCALE: Rs 24,000 crore

OIL AND GAS

The exploration segment is the most ambitious project underway. RIL is prospecting for oil and gas in India and overseas. In India, it has drilled 51 exploratory wells with a success rate of 61 per cent, boasting gas reserves of 11.3 trillion cubic feet.



LOCATION: KG Basin
DRILLING DEPTH: 4.8 km
DEPTH OF PIPELINE: 3km
OVERLAND DISTANCE: 1,400 km through 4-ft pipe
SIZE: Area of 4,25,000 sq km in India and abroad
SCALE: Rs 36,000 crore

RETAIL

RIL is shooting for a slice of the growing retail market. In less than a year, it already has 300 outlets in 30 cities and 12 states. Through retail, it plans to create 5 lakh jobs. The roll-out includes the everything from fresh vegetables to garments.



PLAN: To cover 1,500 towns, 120 million sq ft
SCALE: Rs 35,000 crore
JOB CREATION: 5 lakh jobs

SPECIAL ECONOMIC ZONES

Reliance is setting up two major SEZs in Haryana and Gujarat. Mukesh, along with his friend Anand Jain, is setting up two more in Maharashtra. Spread over 30,000 hectares, the four SEZs will have industrial units and houses.



LOCATION: Jhajhar, Jamnagar, Raigad, Navi Mumbai
SIZE: 300 sq km
SCALE: Rs 35,000 crore + Rs 25,000 crore

curd at home for dinner and movies at the home theatre. At work he is almost always seen wearing a loose white shirt and black trousers; formals mean a suit stitched by Kachins; and holidays are in jeans and a tee or casual shirt. He doesn't care what watch he wears or what pen he uses. His stark, off-white chamber sports a painting of Gandhi by Shahabudin at the entrance, a Laxman Shreshtha and leather seating inside. Have the billions made a difference? "Being able to afford the basic things in life is all you need," he says.

Wealth is not a number but a presence at Reliance. When Mukesh found his new Rs 5-crore Maybach couldn't manoeuvre Mumbai's streets, he simply sent it back and opted for a Mercedes, albeit custom-built. His new office complex, under construction at Bandra in north Mumbai, is reportedly going to be larger than the North Block and the South Block put together. An estimated Rs 600 crore is being spent on building his new home on Altamount Road. He travels around the globe in the \$45 million (Rs 180 crore) Global Express Aircraft—one of the six in his fleet, which will soon also include an Airbus Corporate Jet and a Global Express XRS—but that is only a business tool for him to get to places, just like the watch "is just to see the time left to finish work".

He almost mocks at the numbers with what his friends call Mukesh-ism: "We are creating new benchmarks. The money is merely a by-product. It doesn't mean anything to me nor should it. These billions are just notional." Wealth creation, though, is no mere notion; it is almost a religion with Mukesh. "Our story is the India story. India is growing exponentially. We have a top notch team which spots trends, thinks through the model, establishes the scale required and executes capacities ahead of the demand curve in record time. Every four years, RIL executes new growth platforms." And at a blistering pace. In April 1977, when Mukesh joined Reliance as a director, the turnover of the company was a mere Rs 70 crore. Now the company makes Rs 14 crore an hour; this year it will have a turnover of Rs 1,28,000 crore and a net profit of about Rs 15,000 crore.

Dhirubhai Ambani used to say, "If you can dream it, you can do it." It would seem that at Reliance, they have recurring dreams. The formula is not to look at a target turnover. "We don't say let's create a \$100 billion business. We say, let's see the opportunities around us and create a business that enables us to carve a big chunk." To comprehend the moolah mantra, consider the back-of-the-envelope economic rationale for entering retail. Private consumption via retail accounts for about 40 per cent of the GDP in developing economies like India. Now if our current GDP is about \$1 trillion (Rs 40,00,000 crore), retail should account for \$400 billion (Rs 16,00,000 crore) of which organised retail (which is now less than 5 per cent) should be around 33 per cent or about \$120 billion (Rs 4,80,000 crore). Generally, the major player accounts for 30 per cent of this, which would be about \$35 billion or Rs 1,40,000 crore. Now that is the ambition on the Reliance map. Juxtapose this with wealth creation. The Ambani equity matrix says that market cap would be twice the turnover, as it is in the case of RIL. So the value of this business could be as large as RIL.

It is this logic that rules the Reliance juggernaut. In the